Global regulatory concepts & concepts relating to intermediaries

Purpose of Financial Regulation (Global)

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1. **Fair competition**: To **constrain the use of monopoly power** and the prevention of serious distortions to competition and the **maintenance of market integrity**

2. **Social mandate**: To **protect the essential needs of ordinary people** in cases where information is hard or costly to obtain, and mistakes could devastate welfare; and

3. **Prevent failure**: Where there are sufficient externalities that the social, and overall **costs of market failure exceed both the private costs** of failure and the extra costs of regulation."

Framework for Financial Regulation (as per IMF)

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International Monetary Fund defined three pillars of regulation and need for a regulator in all markets

1. Economic regulations	2. Safety regulations	3. Information regulations
• **should result in a financial services sector** that is: 1. open to new entrants; 2. open to new ideas; 3. governed by a competitive process	• Regulation should **cover financial institutions** on several fronts • I.e., capital requirement, permitted activities, accounting rules, corporate governance etc	• **timely, periodic issuances of information** by publicly traded companies • **issuance of financial information should be standardized**

Global Regulators and Local Regulators

1. Global International Organization of Securities and Commissions (IOSCO) is the international body that bring together individual securities market regulators

2. International Association of Insurance Supervisors (IAIS), is the insurance regulator like IOSCO

3. EU regulations
   - MiFiD I and II: Markets in Financial Instruments Directive
   - ESMA: European Securities and Markets Authority
   - EIOPA: European Insurance and Occupational Pensions Authority

4. Each country is supported by local regulators.
   - For example, UK has 5 listed regulators, Australia has 3, India has RBI, SEBI, IRDAI etc

IOSCO compliance requirements for intermediaries

➢ The International Organization of Securities Commissions (IOSCO) indicates some compliance requirements for financial intermediaries. Key aspects include

1. Compliance: intrinsic to the operations of market intermediaries
   - Comply with the letter of the law
   - high ethical and investor protection standards

2. Disclosure: relates to the personal details of the intermediary, services provided, investment strategies, fees and expenses, affiliations, code of conduct etc

3. Conflicts of interest: Part of disclosure, the intermediary is expected to be able to identify potential conflicts, manage the same and do a full disclosure to client

Due Diligence

Definition: “a measure of prudence, responsibility and diligence that is expected from, and ordinarily exercised by, a reasonable and prudent person under the circumstances.”

For financial advisors:

- Due diligence is the process of systematically verifying the accuracy of information provided by the client,
- Ensuring that the requirements of relevant legislation have been complied with,
- Full disclosure had been made to the client,
- And that a full record of conversations and justification of decisions made by the financial advisor are recorded in the client file.

Key concept: Fiduciary duty versus Suitability

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- **Fiduciary** (i.e., inspiring trust) relates to the legal framework within which financial advisors operate, including their legal, social and ethical responsibilities

- **Fiduciary duty (or obligation)** is the relationship between
  - Client: who places trust, confidence, and relies on and is influenced by the advisor
  - Advisor: who has as a fiduciary duty to act for the benefit of the client

- some territories' legal systems do not include the concept of being a fiduciary. Those territories and organizations will often hold to a suitability standard.
  - Suitability: based on an assessment of client requirements. Means the advisor can equally choose to recommend an investment option that pays more commission, or one that pays less.

- widely recognized that fiduciary-requirement is the greater while suitability is the lesser.

Economic, Political & Social environment

Economy

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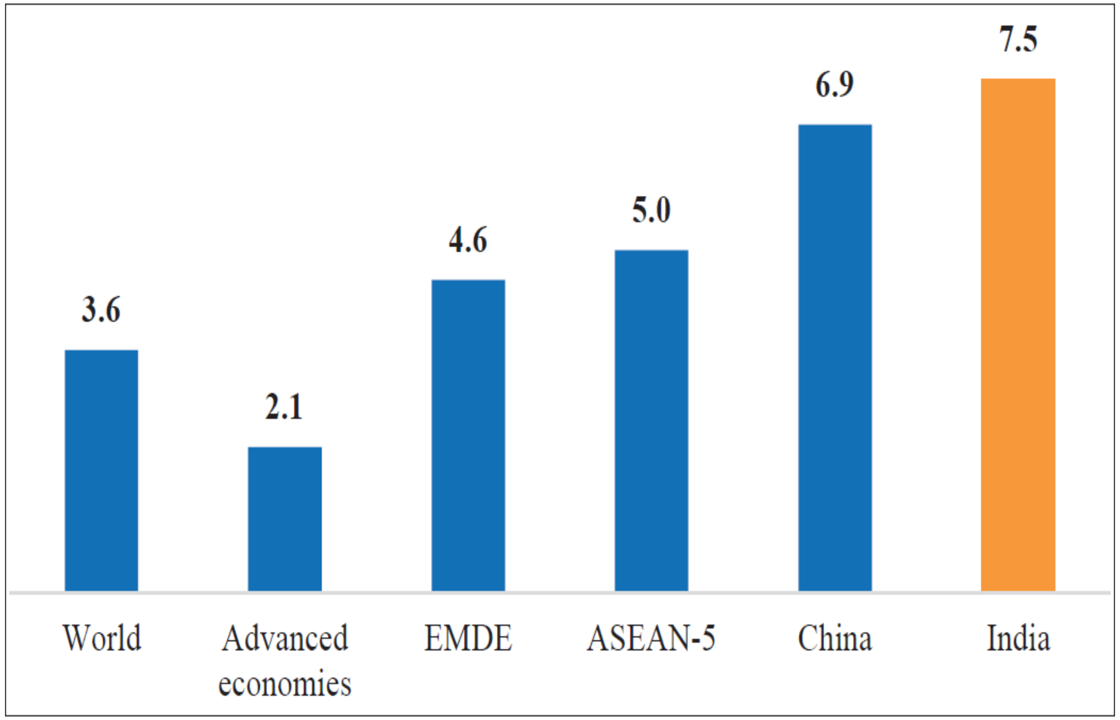
Key terms

- ‘Economy’ the development or position or growth of a country
- Macroeconomic indicators
  - GDP, inflation, interest rates, employment, taxes, foreign exchange, exports, fiscal & monetary policies
- Indian economy highlights
  - Largest democracy, GDP estimated at about 3 Trillion, third largest economy in purchasing parity terms

- Financial advisors are expected to have a working knowledge of overall economic concepts and their impact on financial decision making.

Figure 1: Growth of GDP in India and the world



Source: World Economic Outlook, April 2019, IMF

1. Business cycles

a type of **fluctuation**

found in the **aggregate economic activity** of a nation

Agrarian societies or centrally planned economies rarely have business cycles

That **affects all parts** of the economy at the same time

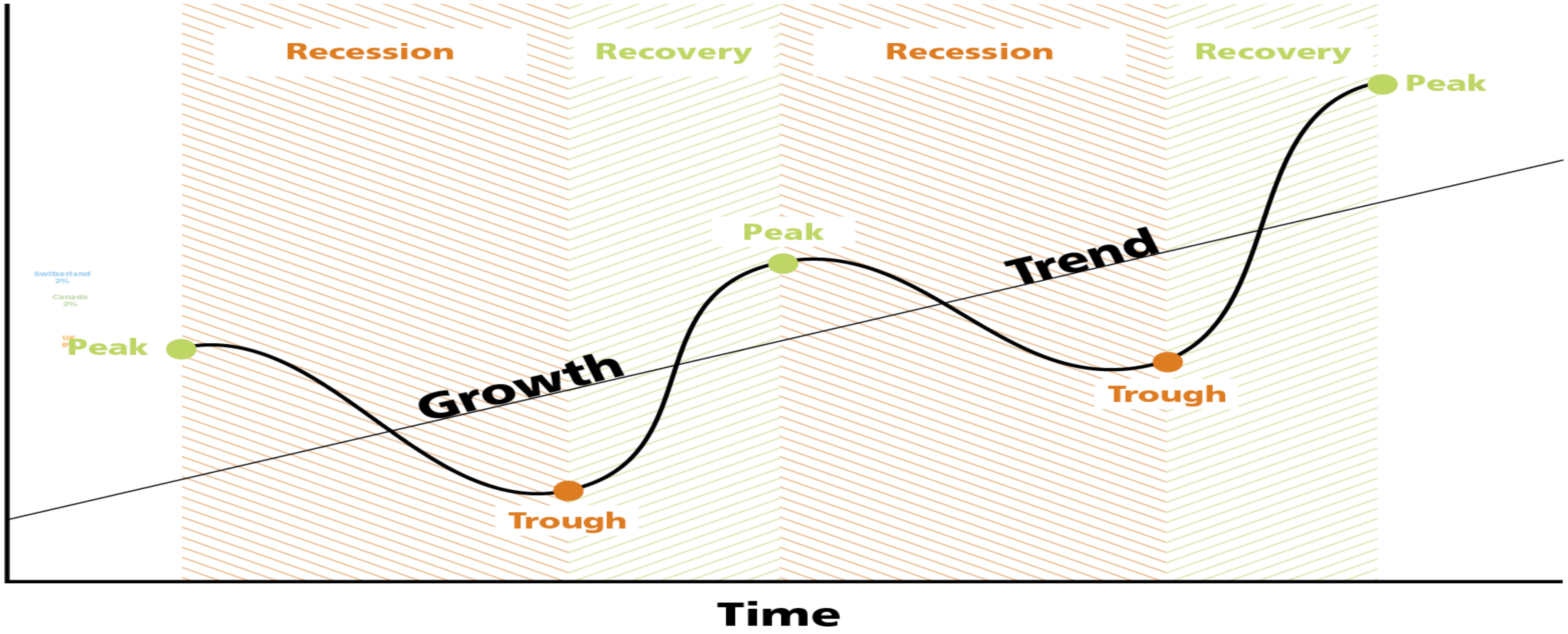
It takes the form of a **recurring cycle** of expansion and contraction

This sequence is recurrent but not periodic (i.e. **not same intensity or timing**).

And last from **1 to as much as 12 years** per cycle

Visual representation of a business cycle

- The business cycle reflects a territory's economic picture.
- GDP is one measure used to represent economic activity.



Business cycle: Key concepts

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Expansion	Downturn & contraction	Recession & depression	Recovery
Bubbles	Leading indicators	Lagging indicators	

2. Macroeconomics theories

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- Classical Economics
  - Adam Smith's – The Wealth of Nations
  - "A change in supply will eventually be balanced by a change in demand"
  - Jean Baptist Say (Say's Law)
  - "Supply creates it's own demand"
  - Thomas Malthus
  - "A territory's population would grow faster than its ability to support them"

- Keynesian Economics
  - **John Maynard Keynes**
  - The General Theory of Employment, Interest and Money
  - Supports the idea that aggregate demand will be influenced by many public and private decisions.
  - **A.W. Phillips: Phillips curve**
  - A decrease in aggregate demand will increase unemployment and lower inflations.

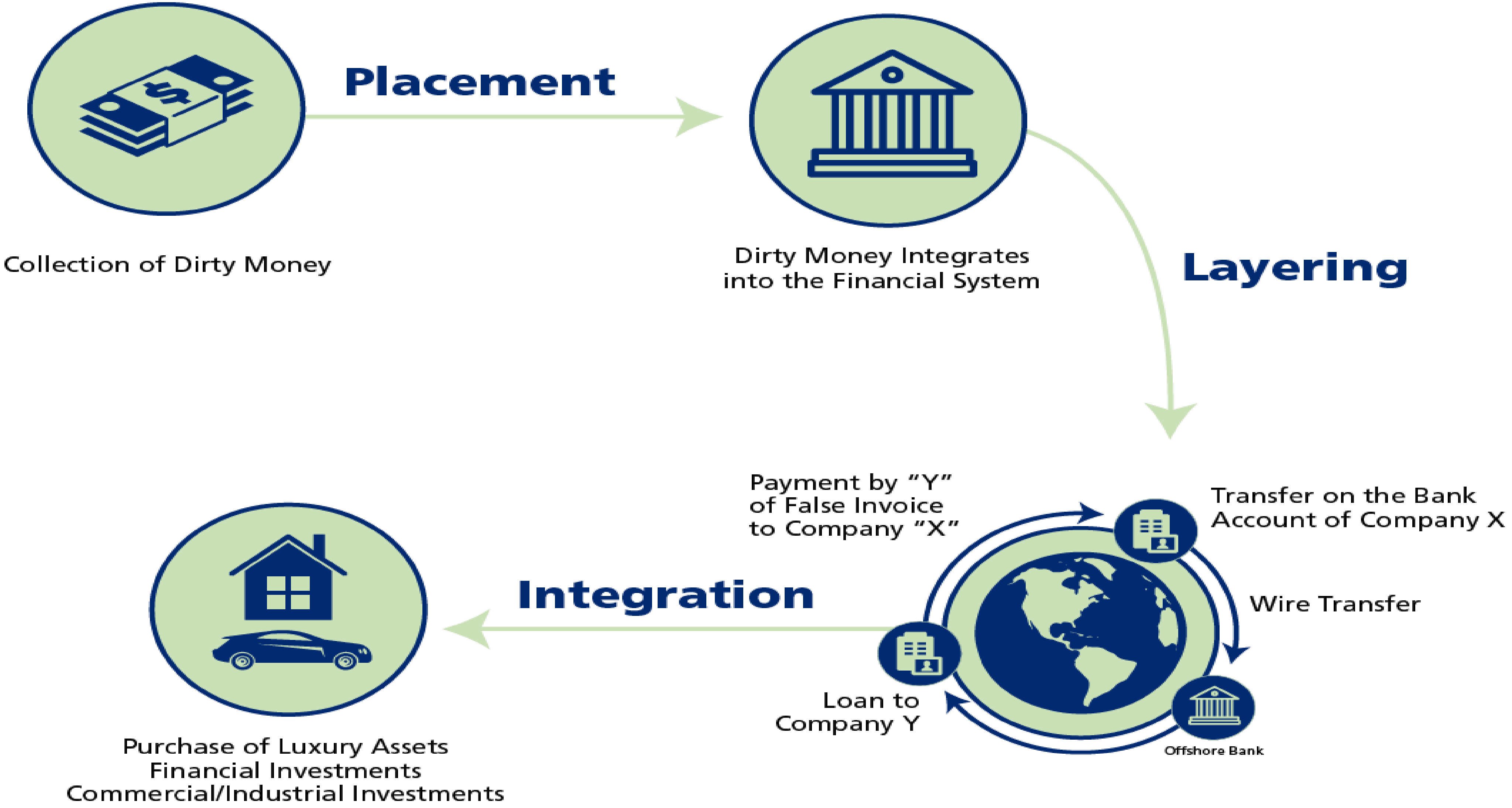
3. Impact of Government and Politics

Governments and politics can have an impact at three levels

- **Local (internal)** policies set the stage for a county's economic environment
  - Legislative (Law) and monetary issues (Central bank)
  - Political party gridlock and alliances
  - Social welfare schemes, taxation and retirement policies
- **Regional** economic environment affects a region, e.g., APAC, ASEAN etc
  - Participating as a regional member
  - Regional aspects like military conflict, trade agreement changes etc
- **Global** economic environment
  - Trade, i.e., imports and exports, that arise from a country's competitive advantages
  - Financial markets and banking, e.g., attractiveness for investments
  - Treaties and alliances, that affect trade inflow and outflow

Anti-Money Laundering

Stages of Money Laundering



Global Rules and Regulations- 8 Principles (World Bank)

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1. Criminalization of money laundering in accordance with Vienna and Palermo Conventions
2. Criminalization of terrorism and terrorist financing
3. Laws for seizure, confiscation and forfeiture of illegal proceeds
4. The types of entities and persons to be covered by AML laws
5. Integrity standards for financial institutions
6. Consistent laws for implementation of FATF recommendations
7. Cooperation among competent authorities
8. Investigations

Activities that underly money laundering

- If money laundering is to be considered a criminal offense, it is important to identify the categories of underlying activities. They are as follows:

1. Organized criminal group and racketeering
2. Terrorism, including terrorism financing
3. Human Trafficking
4. Sexual exploitations
5. Drug trafficking
6. Arms trafficking
7. Stolen goods
8. Corruptions and bribery
9. Fraud
10. Counterfeiting currency
11. Piracy of products
12. Environmental crime
13. Murder, grievous bodily injury
14. Kidnapping, restraint and hostage taking
15. Robbery or theft
16. Smuggling
17. Extortion
18. Forgery
19. Piracy
20. Insider trading and market manipulation

Detecting Money Laundering

- According to FATF, there are four measures to be taken that come under areas for supervision.

1. <u>Identifying the customer</u> and verifying that customer's identity using reliable, independent source documents, data or information.

2. <u>Identifying the beneficial owner</u>, i.e., the natural person(s) who <u>***ultimately owns or controls***</u> a customer and/or the natural person on whose behalf a transaction is being conducted. The Financial Institution should take reasonable measures to verify the identity of the beneficial owner

3. <u>Obtaining information</u> on the purpose and intended nature of the business relationship.

4. <u>Conducting ongoing due diligence</u> on the business relationship and scrutiny of transactions undertaken throughout the course of that relationship to ensure that the transactions being conducted are consistent with the institution's knowledge of the customer, their business, and risk profile, including, where necessary, the source of funds.

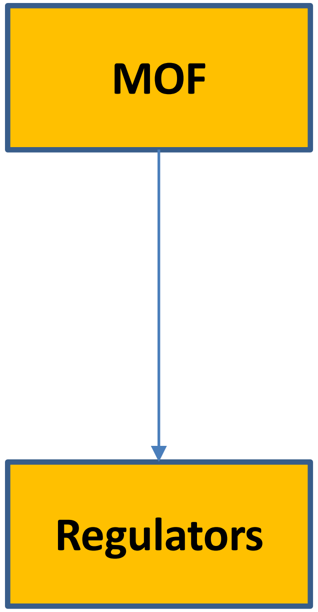
Indian regulatory framework

How regulation flows

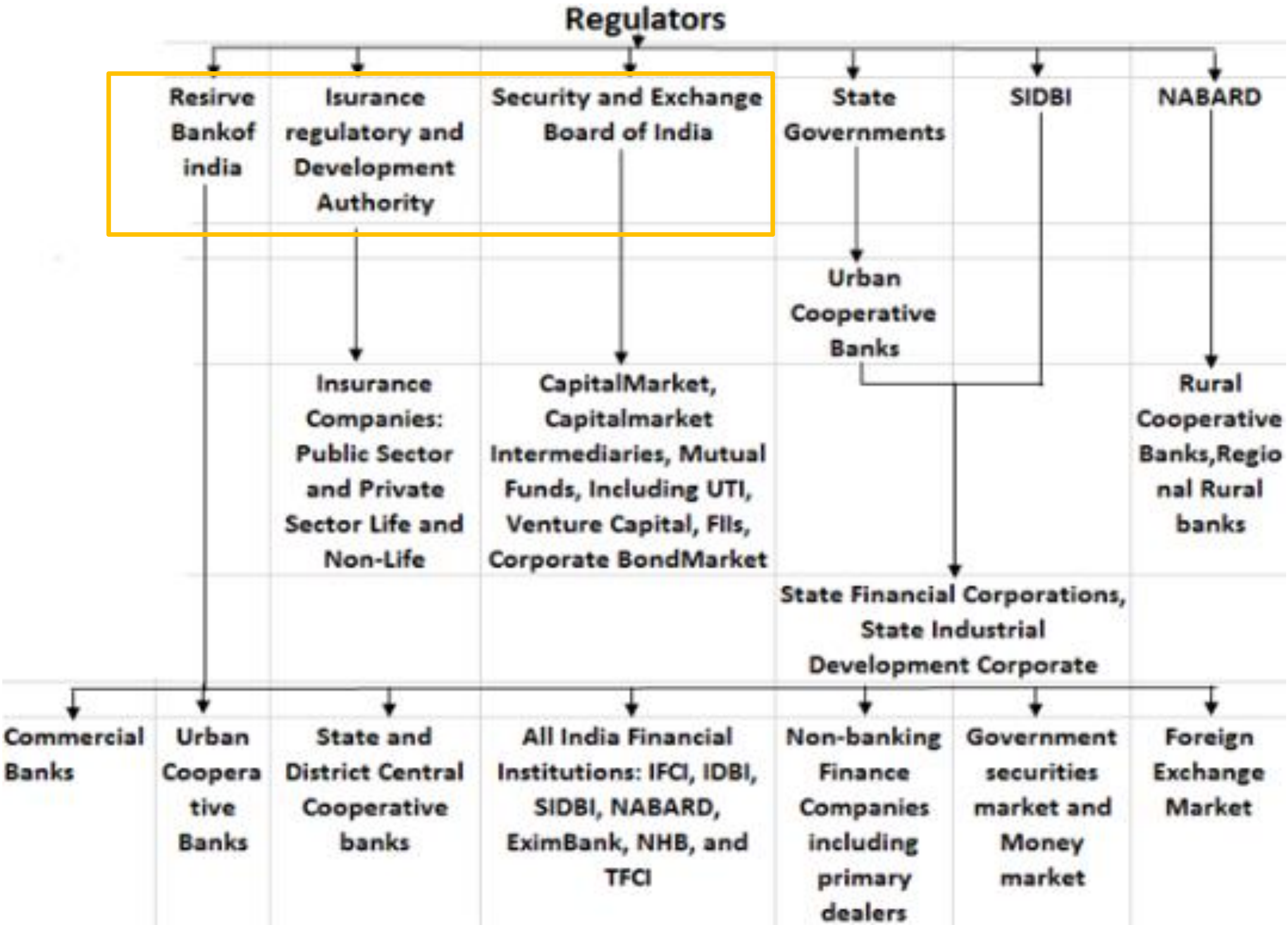
1. India is a parliamentary democracy

- **Ministry of Finance (MOF)** provide this parliament oversight to regulators
  - It lays down the powers, objectives, and accountability mechanisms of the regulators, and oversees appointment of board members to the sae
  - It defines sectors and associated sector regulators to oversee that sector's operations, e.g. RBI, SEBI, IRDAI etc

2. **Regulators** are the executive branches of the government and are accountable to the legislature
   - They are statutory bodies (i.e. by statute) run by a board of directors, who are appointed by the MOF
   - They charge fees to the industry participants to cover their operational costs, thus retaining a level of financial independence



Indian regulatory landscape



- RBI, IRDA, SEBI are apex regulators
- RBI also regulates NABARD, SIDBI
- State governments have some co-regulatory powers also

Reserve Bank of India

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- Established on April 1, 1935, in accordance with the **Reserve Bank of India Act, 1934.**
- It performs merchant banking functions for the Central and State Governments.
- It is also a banker to all scheduled banks in India by maintaining banking accounts
- It regulates all commercial banks, UCB's, NBFC's and institutions like NABARD and NHB (who in turn regulate rural and cooperative banks)

- RBI is also the monetary authority.
  - It frames, implements, and monitors the monetary policy with the objective of maintaining price stability while keeping in mind the objective of growth.
  - It prescribes broad parameters of banking operations with the objectives to maintain public confidence in the system and protect depositors' interests.
  - It is the issuer of currency and monitors it along with other exchange and payment systems.
  - It is responsible for facilitating external trade through orderly development and maintenance of the foreign exchange market in India.

RBI: Goals and responsibilities

Preamble: To regulate the **issue of Bank notes** & keeping the reserves with a view to **securing monetary stability** in India & generally to **operate the currency & credit system of the country** to its advantage. To have a modern **monetary policy framework** to meet the challenge of an increasingly complex economy, to maintain **price stability** while keeping in mind the **objective of growth**.

- Has a **central board of directors.**
  - Appointed for 4 years.
  - 1 full-time Governor & up to 4 Deputy Governors.
  - Additionally, non-official directors - 10 from various fields, 2 government officials & 4 each from the four regions of the country in Mumbai, Calcutta, Chennai & New Delhi.

RBI: Board of Financial Supervision (BFS)

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- The Board was constituted in November 1994 as a committee of the Central Board of Directors of the Reserve Bank of India.

- The Board is constituted by co-opting four Directors from the Central Board as members for a term of two years & is chaired by the Governor. The Deputy Governors of the Reserve Bank are ex-officio members. One Deputy Governor, usually, the Deputy Governor in charge of banking regulation & supervision, is nominated as the Vice-Chairman of the Board.

- The primary objective of BFS is to undertake consolidated supervision of the financial sector comprising
  - Scheduled Commercial & Co-operative Banks,
  - All India Financial Institutions,
  - Local Area Banks,
  - Small Finance Banks,
  - Payments Banks,
  - Credit Information Companies,
  - Non-Banking Finance Companies, &
  - Primary Dealers.

Securities and Exchange Board of India (SEBI)

- Established in 1988 to regulate the functions of the securities market and draws power from the SEBI ACT 1992
- SEBI's objectives are to regulate the activities in stock exchanges, ensure safe investments and prevent fraudulent practices by balanceing business needs and statutory regulations
- This can be termed a triumvirate of **protective, developmental and regulatory functions.**

Protective	Developmental	Regulatory
• Prevent price rigging, • Prevent insider trading, • Prevent fraudulent and unfair practices.	• Enhancement of business in stock exchange • training of intermediaries • Increase use of technology	• Regulation of stock exchanges, stock broking, merchant bankers, registrars and share transfer agents, custodians, depositories, mutual funds and other investment vehicles

Securities & Exchange Board of India

The Preamble :"to protect the interests of investors in securities & to promote the development of, & to regulate the securities market & for matters connected therewith or incidental thereto"

- The Board consists of
  - a Chairman,
  - two members from amongst the officials of the Ministry of the Central Government dealing with Finance,
  - One member from amongst the officials of the Reserve Bank,
  - Five other members of whom at least three to be appointed by the Central Government.

SEBI: Forward Markets Commission (FNC)

- The Forward Markets Commission (FMC)
  - Set up as a statutory body under Forward Contracts (Regulation) Act, 1952 for commodity futures market in India.
  - Operated under the control of the Ministry of Consumer Affairs till September 5, 2013.
  - Thereafter functioned under the Ministry of Finance (Department of Economic Affairs)
  - **On September 28, 2015 FMC was merged with SEBI.**

- The functions of the erstwhile FMC were:
  - Keep forward markets under observation
  - Take necessary actions in the exercise of the powers conferred under the Act.
  - Collected and published information regarding supply, demand and prices of commodities
  - Made recommendations generally with a view to improving the working of forward markets
  - Undertake inspection of books of accounts of registered associations, whenever necessary.

Role of Regulators

1. Legislative / Quasi-judicial role

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- Frame regulations: Regulations set the standards of conduct, i.e.
  - **How to conduct** financial activities, and **How to Supervise** financial markets
  - This includes a structured **consultative process** with the market players
  - And is executed via laws as well as guidelines, circulars, notices, press notes, etc.

- Executive Functions include the
  - **Issuance** of licenses or permissions,
  - Processing of **complaints**
  - **Enforcement** of orders, Inspection of businesses and **Investigation** of alleged violations

- Administrative law function
  - Power to award appropriate **penalties and punishments** if any breach
  - Also allows challenges to be made against regularor's decisions via entities like SAT (Securities Appellate Tribunal)

2. Consumer Protection

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- In India, there exist sector-specific ombudsman systems.
  - the banking ombudsman (as defined by RBI under Banking Regulations Act 1949)
  - the insurance ombudsman (created in 1998)

- SCORES (SEBI Complaints Redress System, 2014)
  - complaints against a listed company or intermediary registered with SEBI can be filed.

- Stipendiary Ombudsman (PFRDA) who oversees timely and effective resolution of grievances of subscribers under NPS.

- Besides, retail consumers have the option to approach other available forums, such as the consumer courts established under the Consumer Protection Act, 1986, the Unfair Practices Act and regular courts.

The Consumer Protection Act, 1986 and 2019

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Design

- Three-tiered system: District, State, National with each tier having Consumer Protection Councils
- a Central Consumer Protection Authority (Central Authority), under a Director General
- State & District-level Grievance Redressal Commissions & a National Commission (for appeals)

Key agenda

- Render advise on promotions and
- protection of consumer rights

Powers

- Central Authority has enforcement & regulatory powers
- Grievance redressals is equal to a court order

3. Micro-Prudential Regulation (Systemic Risk)

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- Aimed at micro-level financial promises that are difficult to honour, difficult to assess, and that pose grave consequences if breached.

- It is done by sector-specific regulators at a company level, to identify if any
  - financial firms design products with certain features to escape regulatory oversight
  - conglomerates specializing in many services (i.e. difficult to assign to 1 sector) are unregulated

- Regulators have five powers through which they can pursue the micro-prudential goal:
  - Regulation of entry
  - Regulation of risk-taking
  - Regulation of loss absorption
  - Regulation of governance/management
  - Monitoring/Supervision

- Laws that look to prevent retail hardship arising out of the failure of large private financial firms also come under micro-prudential regulations, e.g., **Insolvency and Bankruptcy Code (IBC) Act, 2016**

4. Financial Inclusion and Market Development

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- The outreach to a large percentage of population and encouraging their participation with a view to social enrichment is one important regulatory goal.

- Financial inclusion imposes costs on society as a whole while benefiting a certain class.
  - E.g. Opening bank branches in rural areas or providing rural credit at reasonable cost

- The development includes:
  - Modernization of facilities,
  - Embracing technology
  - Absorbing international best practices.

- The incentives extended to mutual fund asset managers to absorb costs and to compensate intermediaries for reaching out to towns and cities beyond the top thirty cities is one step to increase market penetration.

5. Capital Controls

- The Central Government makes rules in consultation with RBI for current account transactions, and the RBI in consultation with the Central Government makes regulations in relation to capital account transactions.

- Presently there are difficulties due to multiplicity of regulators, laws and investment vehicles. E.g.,

1. Capital flow regulations rest with various bodies, i.e., RBI, SEBI, IRDA, and PFRDA
2. Ministry of Finance houses multiple departments, i.e.,
   - Dept of Revenue,
   - Dept of Economic Affairs, which also hosts the Foreign Investment Promotion Board
   - Dept of Financial Services
3. Ministry of Commerce and Industry hosts the
   - Department of Industrial Policy and Promotion, responsible for policy on FDI into the country.
4. Besides this, there are multiple laws for each asset class
5. As also, multiple lays for different types of investors (FII's, FVCI's, QFI's, FPI's)

6. Public Debt Management & Monetary Policy

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- Functions of public debt management are divided between the Government and RBI.

- Market borrowing program of the Central and State Governments is managed by RBI while the external debt is managed directly by the Central Government.
  - Carried out by the RBI's Internal Debt Management Department (IDMD), which is functionally separate from monetary policymaking.

- The Monetary Policy Committee (MPC) of India, was Established - June 27, 2016 and fixes the benchmark interest rate in India.

- The committee comprises six members and meetings are held at least 4 times a year.
  - 3 officials of RBI
  - 3 external members nominated by the Government.
  - Governor of RBI is the chairperson ex officio of the committee
  - Committee is answerable to the Government.

Monetary Policy

- **Cash Reserve Ratio (CRR)**
  - Is the ratio of total deposit that banks need to keep as a reserve with RBI in form of cash not earning them any interest.
  - Powerful tool to control the flow of money in the market and reduce inflation
  - A high CRR decreases the capacity of banks to lend, thereby tending the interest rate to increase.
- **Statutory Liquidity Ratio (SLR)**
  - Is the ratio of a bank's net time and demand liabilities which it has to maintain in the form of cash, gold and other securities prescribed by RBI.
  - Used to limit credit facility offered by banks to borrowers in order to maintain the stability of the banking system.
- **Liquidity Adjustment Facility (LAF)**
  - An indirect instrument for monetary control.
  - It controls the flow of money through repo rates and reverse repo rates.
  - The reverse repo rate is maintained slightly lower than the repo rate

Acts Relevant to Corporate Entities, Securities and External Trade

Learning Objectives

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1. Distinguish Acts in India specific to financial sector regulation

Related to Companies

- Company's Act
- Insolvency & Bankruptcy
- Limited liability partnership
- Partnership

Related to Financial dealings

- Securities contracts
- Security and Exchange Board of India
- Foreign exchange
- Money laundering
- Negotiable Instruments
- Forward Contracts
- Contracts
- Trusts

Acts relating to Company structure and dissolution

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Companies Act 2013	Partnership act 1932	Limited Liability (LLP) Act 2008	Insolvency & Bankruptcy 2016
• Governs all listed and unlisted **companies incorporated in India**	• **Governs partners** who contractually agree to share profits from a business	• **Governs businesses** incorporated as a separate entity from its partners	• Governs failure of business of corporates, partnership firms and individuals

The Companies Act, 2013: Governs companies

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Company formation

- Memorandum and articles
- Formation rules

Governance and operations

- Board formation, composition, size, liability
- Rules for directors, board meetings, responsibilities
- Corporate Social Responsibility

Audits, Compliance, Accountability

- Accounts and reporting
- Class action suits, Tribunals for arbitration
- Approvals from shareholders for actions

Partnership Act 1932 / LLP Act 2008: Govern partnerships

Defines types of partnerships

- Partnership
- Limited Liability Partnership / Foreign LLP

Defines governance and operations

- Roles, responsibilities, rights, liabilities etc

Defines dissolution, closures etc

- Sale or exit by a partner
- Dissolution of partnership
- Insolvency of partner etc

The Insolvency and Bankruptcy Code, 2016 (IBC)

Allows for creation of a Board

- IBBI (insolvency and Bankruptcy board of India)
- Incorporate feedback to amend the IBC

Defines goals and process of resolution

- Balance interests of all stakeholders
- Time bound
- Unbiased

Defines who it applies to

- Individuals
- Partnership firms
- Corporate

Acts relating to financial transactions and sector

Securities Contracts 1956	Foreign Exchange 1999	Negotiable instruments 1881	Forward Contracts 1952
• Governs stock exchanges and securities	• Governs foreign exchange and trade	• Governs commercial activities	• Governs commodity futures markets

Security Exchange Board 1992	Money Laundering 2002	Contracts Act 1872	Trusts Act 1882
• Protect investors and promote security markets	• Governs aspects relating to prevention and reduction of money laundering	• Governs all contracts between parties	• Defines how trusts will work

The Securities Contracts (Regulation) Act, 1956

Defines **rules** for a stock exchange to operate in India

- At least 51% of paid-up equity help by the public
- Up to 5% held by a single person, residing in India or abroad*
- Follow mandated equity rules for clearing corporations **

Defines **marketable** securities that can be traded

- Shares, Stocks, Bonds, Debentures, Government securities, Derivatives on shares and debt, Units issued by collective investment schemes

Regulates stock exchange **operations** / prevent undesirable transactions

- Mandated infrastructure, e.g. connectivity, clearing banks, scalability and load handling, disaster recovery plan etc
- Use of authorized clearing corporations
- Code of Ethics and its implementation and monitoring etc

Securities and Exchange Board of India Act, 1992

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Establish a Board

- A body corporate with perpetual succession
- Power to acquire, hold, dispose of property + enter contracts
- Sue and be sued
- Board vested with superintendence, direction, management

Protect interests of investors in securities

- Investor educations and training of intermediaries
- Prevent unfair trading / fraud / insider trading
- Regulate substantial acquisitions / takeovers

Promote, develop and regulate the securities market

- Regulate exchanges, markets, intermediaries, institutions
- Promote and regulate self-regulating organizations

SEBI – Securities Appellate Tribunal (SAT)

- SEBI orders can be appealed before the **Securities Appellate Tribunal (SAT)** which has
  - a presiding office (a sitting or retired Supreme Court judge or Chief Justice of a High court)
  - And 2 members appointed by the Central Government who are of good standing and can credibly advise on problems relating to securities markets

- SAT is not governed by Code of civil procedure 1908. Instead, it is expected to be guided by principles of natural justice and regulate their own proceedings

- SAT is therefore seen as
  - following a judicial process, within the meaning of relevant sections in the Indian Penal Code and
  - is deemed to be a civil court as per Code of Criminal Procedure, 1973

- SAT's order can only be challenged by filing an appeal with the Supreme Court within 60 days of order communication.

Foreign Exchange Management Act, 1999

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Objective

- Maintain and grow the foreign exchange market
- Vests power with RBI to regulate

Defines foreign exchange instruments

- deposits, credits and balances payable in any foreign currency.
- currency drafts, travellers cheques, letters of credit or bills of exchange payable in any foreign currency or in Indian currency
- shares, stocks, bonds, debentures etc in foreign currency, and securities where cashflows / redemptions are in Indian currency.

Make and amend laws governing foreign exchange to facilitate transactions and external trade

- Forex dealings can only be done with RBI's general or special permission only
- Via an authorised dealer, money changer, offshore bank etc

The Prevention of Money Laundering Act, 2002 (PMLA)

Identify, prevent and control

- Monitor information from reporting entities and investigate, and initiate Criminal procedure
- Escalate cases to the Financial Intelligence Unit

Adjudicate

- Central government appoints
- Self-regulate its own procedures
- Not bound by Code of Civil Procedure

Confiscate, seize or punitive action as per law

- Confiscate / seize money of assets
- Punishment under PMLA is rigorous imprisonment of 3 years and extendable to 7 plus fine.
- Can extent to 10 if Narcotic Drugs Act is applicable

Negotiable Instruments Act, 1881

Defines

- Negotiable Instruments as a promissory note, bill of exchange or cheque

Provides usage rules

- a substitute for money / medium of exchange
- Roles and responsibilities of drawer and drawee
- Protocols for instrument dishonour, liability

Cognizable offence

- Steps to be taken in case of insufficient funds
- Court of jurisdiction powers and penalties

The Forward Contracts (Regulation) Act, 1952

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Setup of a commission

- The Forward Markets Commission
- To exercise functions and duties regards commodities

Define forward contracts

- Contract for goods delivery contract that is not for ready delivery
- Upper limit of 11 days from date of contract
- Goods include all movable property other than actionable claims, money and securities

Regulate commodity futures markets

- Help customers take advantage of price discovery
- Manage risks associated with price fluctuations
- Added amendments as needed

The Indian Contracts Act, 1872

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Definitions	• legally enforceable agreement made between two or more parties towards providing of a product or service, or towards performance of an act.
Elements of contracts	• Promises made by both parties, legally binding • Conditions that void a contract • Modifications, changes and indemnities
Key terms	• Promiser, Promisee, free consent, liabilities, bailment, pledge, principal, agent, sub-agent

Indian Trusts Act, 1882

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Definitions

- a structure created as a legal arrangement to hold assets on behalf of a beneficiary.

Setting up a trust

- legal ownership of a trust is vested in a trustee who owns the assets
- A trust must have lawful purpose else it is void
- may be created by any person who is competent to contract, as revocable / non-revocable etc

Roles & responsibilities

- The trustee: Fiduciary responsibility, cannot normally renounce or delegate responsibilities
- The beneficiary(s), and their rights

Other Acts, Statutes and Regulations Relevant to Financial Consumers

Right to Information Act, 2005 (RTI)

Purpose	• a mechanism for citizens to access certain information about public authorities, so as to hold them accountable
Steps	• Person is not required to give any reason or details other than the contact details • Information is to be shared in most cases • Reasons for rejection have to be provided
Exceptions	• Some information can be withheld if it involves security, scientific, intellectual property rights etc, as also information that may be offensive or provocative

Other SEBI directives

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Disclosure and Investor Protection Guidelines, 2000	• Comprehensive compendium relating to issuances made by companies, their methodology and rules governing intermediaries and participants
Intermediaries Regulations, 2008	• Defines intermediaries, their roles and responsibilities, and code of conduct
Investment Advisers Regulations, 2013	• Governs advise dispensed to a client by an advisor / RIA orally or in written form, and their roles/responsibilities
Self-Regulatory Organizations Regulations, 2004	• Defines SRO's, appointment, structures, roles and responsibilities and governance